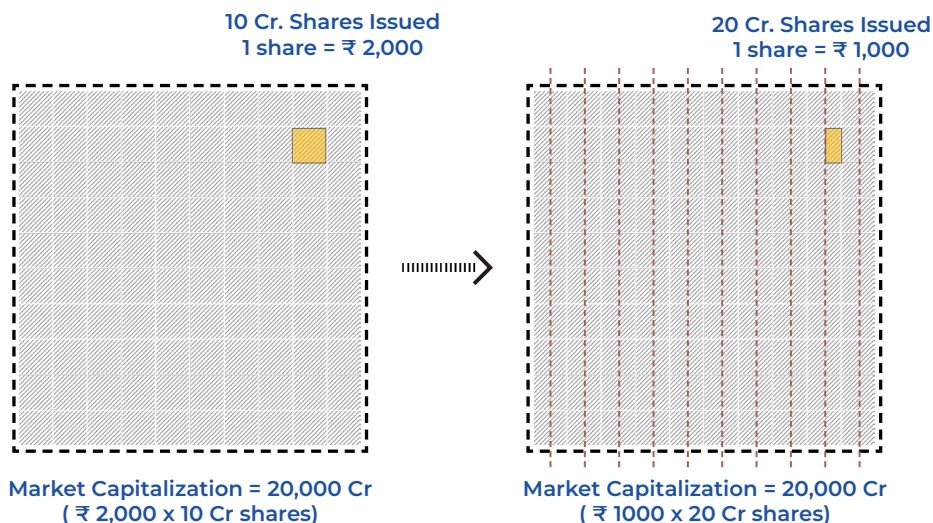


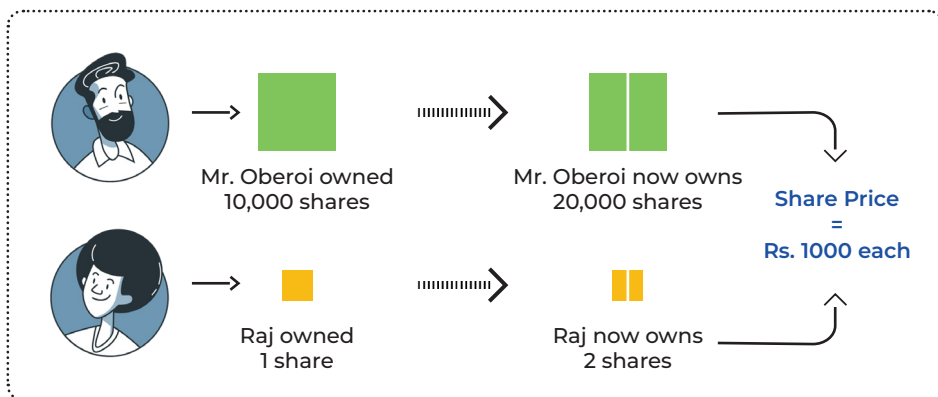
Market cap denotes the overall size of the company and as a result market capitalisations holds more importance than the price per share. This is because the company can increase or decrease the no. of shares and change the price per share but cannot change the market cap. It is the total value of the company as decided by the market.

For instance, Reliance could split its share in half at any time.

As a result, 1 share with a value of ₹ 2,000 is divided into 2 shares with a value of ₹ 1,000 each. As a result, a person owning 1 share, now owns 2 shares. Likewise, Mr. Oberoi who previously owned 10,000 shares will now own 20,000 shares at half the value.



Remember: The company's market capitalization remains unchanged in this case. Only the price of each stock is decreased by half.



Share price went down by 50% just by changing the no. of shares. So, when we talk about any company's size, we essentially mean market capitalization of the company.